

Table 22.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price follows the shape of an inverted cup followed by a handle.
Rounded cup	Look for a smooth, rounded cup, but accept deviations.
Cup rims	The starting and ending points of the cup should stop near the same price, usually less than a few percentage points apart.
Cup handle	Between the right cup rim and the breakout is the handle. It can be any length. The median is 30 days long.
Cup retrace	Price in the handle must not climb above the top of the pattern but should bounce upward. The three most frequent retrace amounts land between 30% and 40%.
Breakout direction	Downward when price closes below the right cup rim.
Confirmation	The pattern is valid only after a downward breakout.